Goods and Services Tax (GST)

Goods and Services Tax is a comprehensive indirect tax on manufacture, sale and consumption of goods and services throughout India, to replace taxes levied by the Central and State Governments. Goods and services tax would be levied and collected at each stage of sale or purchase of goods or services based on the input tax credit method.

- **Central Taxes Replaced by GST** Central Excise Duty, Additional Duties of Excise and Customs, Special Additional Duty of customs (SAD), Service Tax and Cesses and Surcharges on Supply of Goods and Services.
- **State Taxes Subsumed in the GST** VAT, Central Sales Tax, Purchase Tax, Luxury Tax, Entry Tax, Entertainment Tax, Taxes on Advertisements, Lotteries, Betting, Gambling and State Cesses and Surcharges.

Financial Relations Between Centre and States

- Article 264 and Article 293 explain the financial relations between the Union and State Governments. Although states have been assigned certain taxes, which are levied and collected by them, they also have a share in the revenue of certain union taxes and there are certain other taxes, which are levied and collected by the Central Government, but whole proceeds are transferred to the states.
- The Constitution provides residuary powers to the centre. It makes a clear division of fiscal powers between the Central and the State Governments.
  A. **List I** of 7th Schedule of the Constitution enlists the Union Taxes.
  B. **List II** of 7th Schedule enlists the taxes, which are within the jurisdiction of the states
  C. Apart from taxes levied and collected by the state the Constitution has provided for the revenues for certain taxes on the Union List to be allotted, partly or wholly to the states.

Finance Commission

Finance Commission is constituted to define financial relations between the Centre and the States. Under the provision of Article 280 of the Constitution, the President appoints a Finance Commission for the specific purpose of devolution of non-plan revenue resources. KC Niyogi was the chairman of first finance commission. The 14th Finance Commission was headed by YV Reddy.

Recommendations of 14th Finance Commission

- **Devolution of Taxes to States** The share of taxes of the centre to states is recommended to be increased from 32% to 42%.
- **Fiscal Deficit** Fiscal deficit of states should be aimed at 3% of the Gross State Domestic Product (GSDP) during the period 2015 to 2020.
- **Compensation to States for GST** An autonomous and independent Goods and Services Tax (GST) compensation fund is to be set-up in order to facilitate compensation to states. Revenue compensation to states for the GST should be for 5 years.
- **Amendments to FRBM Act** The FRBM Act, 2003 should be amended, to remove the definition of effective revenue.

UNION BUDGET

- The budget is an extension account of the governments finances, in which revenues from all sources and expenses of all activities undertaken are aggregated.
- The Finance Minister presents the Union Budget every year in the Parliament that contains the Government of India's revenue and expenditure for one fiscal year, which runs from 1st April to 31st March.
- In the Constitution of India the term Budget is nowhere used. It is rather mentioned as Annual Financial statement under Article 112 comprising the revenue capital budget and also the estimates for the next fiscal year called Budget Estimates.

FRBM Act, 2003

The Fiscal Responsibility and Budget Management Act (FRBM), 2003 is an act of the Parliament of India to institutionalise financial discipline, reduce India's fiscal deficit, improve macro-economic management and the overall management of the public funds by moving towards a balanced budget.

Objectives

The main objectives of the act are as follows

1. To introduce transparent fiscal management systems in the country.
2. To introduce a more equitable and manageable distribution of the country's debts over the years.
3. To aim for fiscal stability for India in the long run.

INFLATION

It is that state in which the prices of goods and services rise on the one hand and value of money falls on the other. When money circulation exceeds the production of goods and services, the state of inflation takes place in the economy.

Types of Inflation

Four types of inflation are as follows

i. **Demand Pull Inflation** Inflation created and sustained by excess of aggregate demand for goods and services over the aggregate supply. In other words, demand pull inflation takes place when increase in production lags behind the increase in money supply.

ii. **Cost Push Inflation** Inflation which is created and sustained by increase in cost of production which is independent of the state of demand (e.g. trade unions can bargain for higher wages and hence, contribute to inflation).

iii. **Stagflation** In this type, there is fall in the output and employment levels. Due to various pressures, the entrepreneurs have to raise the price to maintain their margin of profit. But as they only partially succeed in raising the prices, they are faced with a situation of declining output and investment. Thus, on one side there is a rise in the general price level and on the other side, there is a fall in the output and employment.

iv. **Hyper Inflation** It is very rapid growth in the rate of inflation in which money loses its value to the point where alternative mediums of exchanges-such as barter or foreign currency are commonly used. Also called Galloping Inflation.

Measurement of Inflation

- Inflation is measured by **general price index**. General price index measures the changes in average prices of goods and services. A base year is selected and its index is assumed as 100 and on this basis price index for the current year is calculated.
- If the index of the current year is below 100, it indicates the state of deflation and on the contrary, if index of the current year is above 100 it indicates the state of inflation.

> **WHOLESALE PRICE INDEX** (WPI)
> - It measures the change in wholesale prices on weekly basis. On the basis of weekly indices average annual WPI is worked out.
> - Average annual wholesale prices of the base year (assumed as 100).

Consumer Price Index (CPI)

It measures changes in price level of goods and services purchased by households. The base year for calculation of CPI after 2015 revision has been changed to 2012. CSO compile CPI for urban and rural population separately. It also publish combined CPI (Urban+Rural).

DEFLATION

It is that state in which the value of money rises and the price of goods and services falls.

The state of deflation may appear in the economy due to the following reasons

- When the government withdraws money from circulation.
- When government imposes heavy direct taxes or takes heavy loans from the public (voluntary or compulsory or both).
- When the Central Bank sells the securities in open market (which reduces the quantity of money in circulation).
- When the Central Bank increases the bank rate (which curtails the quantity of credit in the economy).

Measures to Check Deflation

- To increase money supply.
- To promote credit creation by the banks.
- Curtailment in taxes so as to increase the purchasing power of people.
- To increase the public expenditure and to increase the employment opportunities in the economy.
- To increase the money supply in circulation by repayment of old public debts.
- To provide economic subsidy by the government to the industrial sector of the economy.

Foreign Trade

Foreign Trade is a characteristic feature of all modern economies. India, since ages, has experienced a thriving international trade. However, with the rapid economic progress in recent years, these has been a shift from the traditional areas and destinations of export/import.

Balance of Trade (BoT)

The difference between a nation's imports of goods and services and its exports of them is known as Balance of Trade.

- It is the most important element of the Balance of Payments.
- There are three possibilities in the Balance of Trade (BoT), *which are as follow*
  - Balanced BoT i.e. Exports = Imports
  - Adverse BoT i.e. Exports < Imports
  - Favourable BoT i.e. Exports > Imports

Balance of Payment (BoP)

The Balance of Payment (BoP) of country is the record of all economic transactions between the residents of a country and the rest of the world in particular period (over a quarter of a year or more commonly over a year). These transactions are made by individuals, firms and government bodies.

It is divided into the following two accounts :

Current Account

Current account of Balance of Payment consist of all transactions relating to goods, services and income. It is functionally classified into merchandise or visible and invisibles. Current account deficit is the situation where payments on the current account, out of the country are more than the payments into the country. In current account surplus there is a net inward payment into the country on the current account.

Capital Account

Capital account is that acount which records all such transactions between residents of a country and rest of the world, which causes a change in the asset or liability status of the residents of a country or its government. Investments (FDI and FII) and Borrowings, External Commercial Borrowings (ECB) are part of the capital account.

Foreign Direct Investment (FDI)

- It is an investment in a foreign country through the acquisition of a local company or the establishment of an operation on a new greenfield site.
- Brownfield investment is when a company or government entity purchase or leases existing production facilities to launch a new production activity.
- Since, 1st April, 2010 in India, Foreign Direct Investment (FDI) has been regulated by the consolidated FDI policy issued by the Department of Industrial Policy and Promotion (DIPP).
- This consolidation is expected to clarify India's FDI policy and provide for a better understanding and predictability of the foreign investment rules among foreign investors and sectoral regulators.

Foreign Institutional Investment (FII)

- A foreign institutional investor is one which is registered in a country outside of the one in which it is investing. In India, it is used to refer to companies which invest in the country's financial markets.
- In 2013, India accepted the internationally laid down definition of FII to remove the ambiguity between FII and FDI. Now, when an investor has a stake of less than 10% in a company, it will be treated as **FII** and where and investor has a stake of more than 10%, it will be treated as FDI.
- FIIs may invest in securities in both the primary and secondary market in shares, debentures and warrants of listed or unlisted companies.

Participatory Notes

These refers to instruments issued by registered foreign institutional investors to overseas investors who are not registered with SEBI but wish to invest in Indian stock markets.

Foreign Trade Policy (FTP), 2015-20

- The new five years Foreign Trade Policy, 2015-20 provides a framework for increasing exports of goods and services as well as generation of employment and increasing value addition in the country in keeping with the 'Make in India' vision. The focus of the new policy is to support both the manufacturing and services sectors, with special emphasis on improving case of doing business.
- The government is pitching India as a friendly destination for manufacturing and exporting goods.

Some key features of the new foreign trade policy are as follows

- India to be made a significant participant in world trade by 2020.
- Merchandise Exports from India Scheme (MEIS) to promote specific services for specific markets foreign trade policy.
- FTP would reduce export obligation by 25% and given boost to domestic manufacturing.
- Industrial products to be supported in major markets rates ranging from 2% to 3%.
- Branding companies planned to promote exports in sectors where India has traditional strength.

INTERNATIONAL ORGANISATIONS

An International Organisation has been defined as a forum of co-operation of Sovereign States based on multilateral international agreement and comprising of a relatively stable range of participants.

Bretton Woods Conference

The Bretton Woods Conference, officially known as the **United Nations Monetary** and **Financial Conference**, was a gathering of delegates from 44 nations that met from 1st to 22nd July, 1944, in Bretton Woods, New Hampshire, to agree upon a series of new rules for the post World War II International Monetary System.

The two major accomplishments of the conference were the creation of the International Monetary Fund (IMF) and the International Bank for Reconstruction and Development (IBRD) also known as World Bank.

World Bank

Since, its inception in 1944, the World Bank has expanded from a single institution to a closely associated group of five development institutions. On 1st July, 2012, Jim Yong Kim became the 12th President of the World Bank Group. He has been appointed as a head of World Bank in 2016 for second-term.

The world bank is a vital source of financial and technical assistance to developing countries around the world. It aims to end extreme poverty and at the same time promote shared prosperity.

International Monetary Fund (IMF)

The IMF came into formal existence in December, 1945, when its first 29 member countries signed its Article of Agreement. It began operations on 1st March, 1947. At present, **189 nations** are Members of IMF.

India is a founder Member of the IMF. Finance Minister of India is the ex-officio Governor on the Board of Governors of the IMF, which is the highest decision making body of the IMF. RBI Governor is the alternate Governor at the IMF. The IMF's primary purpose is to ensure the stability of the International Monetary System—the system of exchange rates and international payments that enables countries (and their citizens) to transact with one another.

World Trade Organisation (WTO)

The WTO commenced under the Marrakesh Agreement in 1995 and replaced GATT. It deals with the global rules of trade between nations, helps producers of goods and services, exporters and importers conduct their business. The WTO's agreement on Trade Related Aspects of Intellectual Property Right (TRIPS), was negotiated in 1986-94 Uruguay round. Rules related to trade, tariff, patent and intellecutual property right are framed by the WTO. The members of the World Trade Organisation (WTO) agree to accord MFN status to each other.

TRIPS (TRADE RELATED ASPECTS OF INTELLECTUAL PROPERTY RIGHTS)

- The 1995 TRIPS Agreement provided for both product patents and process patents. Product patents are meant to protect the individual product, while process patent protect the process used to create the product.
- The agreement gave developing countries 10 years to enact laws to protect intellectual property. Thus, India enacted its Patents (Amendment) Act in 2005 to confirm to the agreement.
- Developed countries on the other hand had to enact laws in 1995 itself. Under the agreement, protection to patents had to be provided for 20 years. TRIPS agreement is administered by **WTO**.

International Labour Organisation (ILO)

The International Labour Organisation emerged with the League of Nations from the Treaty of Versailles in 1919. It was founded to give expression to the growing concern for social reform after World War I and the conviction that any reform had to be conducted at an international level.

The ILO has generated such hallmarks of industrial society as the eight-hour working day, maternity protection, child labour laws and a range of policies, which promote workplace safety and peaceful industrial relations.

Established on	11th April, 1919
Associated with UNO	14th December, 1946
Headquarters	Geneva
Membership	187
Director-General	Guy Ryder (2012-17)
Noble Peace Prize	1969

Asian Development Bank (ADB)

The Asian Development Bank was established following the recommendations of the United Nations Economic and Social Commission for Asia and the Pacific. It was formed to foster economic growth and co-operation in the region of Asia and the Pacific and to contribute to the acceleration of economic development of the developing countries of the region.

The Asian Development Bank (ADB), an International Partnership of 67 member countries, was established in 1966 with its headquarters at Manila, Philippines. India is a founder member.

Asia-Pacific Economic Cooperation (APEC)

Asia-Pacific Economic Cooperation or APEC, is the premier forum for facilitating economic growth, cooperation, trade and investment in the Asia-Pacific region. APEC is the only Inter-governmental grouping in the world operating on the basis of non-binding commitments, open dialogue and equal respect for the views of all participants.

Organisation of the Petroleum Exporting Countries (OPECs)

The headquarter of OPECs is located in Vienna and it has 12 members and it was established in 1960. OPEC nations account for two-third of the world's oil reserves and 33.3% of the world's oil production.

The main objective is determination of the best means for safeguarding the organisation's interests, individually and collectively. It pursues ways and means of ensuring the stabilisation of prices in international oil markets with a view to eliminate harmful and unnecessary fluctuations.

BRICS

In economics, BRICS (Brazil, Russia, India, China, South Africa) is an acronym that refer to countries Brazil, Russia, India, China and South Africa which are all deemed to be at similar stage of newly advanced economic development.

New Development Bank (NDB)

The New Development Bank, formerly referred to as the BRICS Development Bank, is a multilateral development bank established by the BRICS states. According to the agreement on the NDB, "the bank shall support public or private projects through loans, guarantees, equity participation and other financial instruments." The bank is headquarter in Shanghai, China. KV Kamath, from India, is the first elected President of the NDB.

SAARC

South Asian Association for Regional Cooperation (SAARC) is an organisation of South Asian nations, founded in December, 1985 and dedicated to economic, technological, social and cultural development emphasising collective self-reliance. Its members are Bangladesh, Bhutan, India, Maldives, Nepal, Pakistan, Sri Lanka and Afghanistan.

The SAARC Secretariat is based in Kathmandu, Nepal. It co-ordinates and monitors implementation of activities, prepares for services meetings and serves as a channel of communication between the association and its member states as well as other regional organisations.

SAFTA

The South Asian Free Trade Area or South Asian Preferential Trading Arrangement is an agreement reached on 6th January, 2004 at the 12th SAARC Summit in Islamabad, Pakistan. It created a free trade area of 1.6 billion people in Bangladesh, Bhutan, India, Maldives, Nepal, Pakistan and Sri Lanka.

ASEAN

Association of South-East Asian Nations (ASEAN) was established on 8th August, 1967, in Bangkok, Thailand, with the signing of the ASEAN Declaration (Bangkok Declaration) by the Founding Fathers of ASEAN, namely; Indonesia, Malaysia, Philippines, Singapore and Thailand.

Later on Brunei Darussalam, Vietnam, Lao PDR and Myanmar and Cambodia joined the organisation making it 10 members group. The main aim of the organisation is to accelerate economic growth, social progress and cultural development in the region.

European Union

The European Union (EU) is an economic and political union of 28 member states that are located primarily in Europe. The European Union received the 2012 Nobel Peace Prize for having "contributed to the advancement of peace and reconciliation, democracy, and human rights in Europe." On 1st July, 2013, Croatia became the 28th EU member. In 2016, UK decided to exit from EU.

India, Brazil, South Africa (IBSA)

The members of IBSA are India, Brazil, South Africa and it was established in 2003. The main objective of IBSA is to promote South-South Cooperation. It aims at increasing the trade opportunities among the three countries and facilitating the trilateral exchange of information, technologies and skills to complement each other strength.

Indian Ocean Rim Association for Regional Cooperation (IOR-ARC)

The headquarter of IOR-ARC is located in Mauritius and it has 20 members. The main objective is to promote balanced growth and sustainable development of the region and member states, to focus on those areas of economic cooperation, which provide maximum opportunities for development, shared interests and mutual benefits.

Shanghai Cooperation Organisation (SCO)

The headquarter of SCO is located in Beijing, China and it has 6 members. It is an inter-governmental mutual-security organisation, which was founded in 2001, in Shanghai by the leaders of China, Kazakhstan, Kyrgyzstan, Russia, Tajikistan and Uzbekistan.

Except for Uzbekistan, the other countries had been members of the Shanghai Five, founded in 1996, after the inclusion of Uzbekistan in 2001, the members renamed the organisation. India has signed memorandum on accession in 2016. It is expected to become full member in 2017.

BIMSTEC

The headquarter of BIMSTEC (Bay of Bengal Initiative for Multi-Sectoral Technical and Economic Cooperation) is located in Dhaka, Bangladesh and it has 7 members Bangladesh, India, Myanmar, Bhutan, Sri Lanka, Thailand and Nepal and it was established in 1997. The main objective is to promote multi-sectoral cooperation for economic and social progress of the Bay of Bengal region. The member countries agreed to create the BIMSTEC free trade area framework agreement in order to promote international trade and investment in the region.

G-8

The member of G-8 are Canada, France, Germany, Italy, Japan UK, USA and the Russia. On 24th March, 2014, the original G-7 nations voted to effectively suspend Russia in response to latter's annexation of Crimea. However, they decided that Russia might restore its membership in G-8 depending on its action. The main objective of G-8 aims at discussing and evolving strategies to deal with the major economic and political international issues. There is no formal institutional structure or permanent secretariat. Heads of state of member nations and EU representatives hold meetings annually.

Multilateral Summits G-20

It was established on 26th September, 1999, when the Finance Ministers of the G-7 announced the formation of the G-20 in Washington DC to establish an informal mechanism for dialogue among systematically important countries, including the industrialised countries and the big emerging markets within the framework of the Bretton Woods Institutional System.

India is member of G-20. The main objective of G-20 is promoting discussion on and study and review of policy issues among industrialised countries and big emerging markets with a view to enhancing international financial stability. The G-20 does not have a permanent secretariat. The chair rotates between the members selected from different five regional grouping of countries each year.